

SOFTWARE DEVELOPMENT PROJECT COST ESTIMATION

Project Title

Enterprise Resource Management System (ERMS)

Client

XYZ Corporation

Development Partner

ABC Software Solutions Pvt. Ltd.

Document Version

1.0

Date

21 June 2026

1. Project Overview

XYZ Corporation intends to develop a centralized Enterprise Resource Management System (ERMS) to streamline business operations across multiple departments, including Human Resources, Finance, Inventory Management, Customer Relationship Management (CRM), and Reporting.

ABC Software Solutions Pvt. Ltd. has been contracted to design, develop, test, deploy, and maintain the software solution.

The project will be delivered as a web-based application with role-based access control, reporting dashboards, API integrations, and cloud deployment support.

2. Project Scope

The system will include the following modules:

Human Resource Module

- Employee management

- Attendance tracking
- Leave management
- Payroll integration
- Performance reviews

Inventory Management Module

- Product catalog management
- Stock tracking
- Warehouse management
- Purchase orders
- Supplier management

Customer Relationship Module

- Customer profiles
- Lead management
- Sales pipeline tracking
- Customer support ticketing

Finance Module

- Invoice generation
- Expense tracking
- Revenue reporting
- Budget management

Administration Module

- User management
- Role-based permissions
- Audit logs
- System configurations

Reporting & Analytics

- Interactive dashboards
- Data visualization
- Export to PDF and Excel
- Scheduled reports

3. Development Methodology

The project will follow the Agile Software Development Lifecycle (SDLC).

Phases

Phase	Duration
Requirement Gathering	2 Weeks

Phase	Duration
System Design	2 Weeks
Development	12 Weeks
Testing & QA	4 Weeks
Deployment	1 Week
User Training	1 Week

Total Estimated Duration: 22 Weeks

4. Resource Allocation

Role	Number of Resources	Duration
Project Manager	1	22 Weeks
Business Analyst	1	4 Weeks
Solution Architect	1	3 Weeks
Backend Developers	3	12 Weeks
Frontend Developers	2	12 Weeks
UI/UX Designer	1	4 Weeks
QA Engineers	2	4 Weeks
DevOps Engineer	1	2 Weeks

5. Cost Breakdown

Project Management

Item	Cost (USD)
Project Planning	\$4,000
Stakeholder Meetings	\$2,000
Risk Management	\$1,500

Subtotal: \$7,500

Analysis & Design

Item	Cost (USD)
Requirement Analysis	\$5,000
Architecture Design	\$4,500
UI/UX Design	\$6,000

Subtotal: \$15,500

Development

Item	Cost (USD)
Frontend Development	\$28,000
Backend Development	\$42,000
Database Development	\$8,000
API Development	\$10,000

Subtotal: \$88,000

Quality Assurance

Item	Cost (USD)
Functional Testing	\$5,000
Integration Testing	\$3,500
Performance Testing	\$2,500

Subtotal: \$11,000

Infrastructure & Deployment

Item	Cost (USD)
Cloud Setup	\$4,000
CI/CD Pipeline	\$3,000
Production Deployment	\$2,000

Subtotal: \$9,000

Documentation & Training

Item	Cost (USD)
Technical Documentation	\$2,000
User Manuals	\$1,500
Employee Training Sessions	\$2,500

Subtotal: \$6,000

6. Third-Party Services

Service	Annual Cost
Cloud Hosting	\$6,000
Email Service Provider	\$1,200
Monitoring Tools	\$1,000
Backup Services	\$800

Subtotal: \$9,000

7. Maintenance and Support

ABC Software Solutions will provide post-production support for 12 months.

Included Services

- Bug fixes
- Security patches
- Performance optimization
- Minor feature enhancements
- Monthly health checks

Service	Cost
Annual Maintenance Contract	\$18,000

8. Total Project Cost

Category	Cost (USD)
Project Management	\$7,500
Analysis & Design	\$15,500
Development	\$88,000
Quality Assurance	\$11,000
Deployment	\$9,000
Documentation & Training	\$6,000
Third-Party Services	\$9,000
Maintenance Support	\$18,000

Grand Total: \$164,000

9. Payment Schedule

Milestone	Payment
Contract Signing	20%
Design Approval	20%
Development Completion	30%
UAT Sign-Off	20%
Production Go-Live	10%

10. Assumptions

1. All requirements will be finalized before development begins.
 2. Client will provide timely feedback during review cycles.
 3. Additional features requested after scope approval will be handled through a formal Change Request (CR) process.
 4. Third-party licensing costs may vary depending on vendor pricing changes.
 5. Hosting costs are estimated based on projected usage.
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11. Approval

Prepared By:

ABC Software Solutions Pvt. Ltd.

Approved By:

XYZ Corporation

Date: ____

Signature: ____